

Potential Adoption of COB in Apple Supply Chain: Not Only One Beneficiary

Our channel checks suggest Apple could first introduce a COB-based camera module on its upcoming wearable products (TWS/AI glasses) and then on iPhone periscope/ultrawide camera in 2028, thanks to its continued evolution in miniaturization. While such a trend does bring more opportunities for Sunny to enter its module supply chain, we do not think it would be a threat to Cowell by leading in COB/FC techniques, and thus both could be beneficiaries, in our view.

Incident and our takes: Sunny Optical's stock price surged by 14% on Fri (May 29), likely driven by market chatter on its potential in supplying camera module with COB (chip on board) assembly solution to Apple and breakthrough in AI optics. Based on our earlier channel checks, Apple is indeed planning to adopt COB on multiple types of products to gradually replace the original FC (flip chip) assembly, thanks to the continued evolution of the former in achieving miniaturization over the past years. Specifically, Apple could first introduce it on its upcoming wearable products, such as TWS and AI glasses equipped with cameras as an early adoption for supply chain's ramp and then may adopt it on iPhone's both periscope/ultrawide cameras as early as in 2028. While all of the above projects are subject to uncertainty, we believe that Apple is trying to embrace new assembly techniques going forward after sticking to FC solutions on most products for decades.

Implications to Sunny: Sunny has long been making progress on the miniaturization of camera modules (e.g., leading in MOB/MOC solutions). We believe Apple's adoption of COB does bring more opportunities for Sunny to enter its camera module supply chain in the future, potentially creating a TAM no smaller than the Android camp as a whole for this business. In addition, Sunny is continuously improving its product structure in the Android market. We estimate Sunny had ~10%/20% mix of hybrid/periscope lens, respectively, in total smartphone lens rev and ~20% mix of periscope module in smartphone module rev in 2025, and mgmt previously guided to decent rev growth for those high-end products in 2026, implying further product mix optimization, making it relatively resilient on smartphone market headwinds this year. For AI optics, while it may take time for product R&D and customer qualification, we think Sunny could leverage its existing techniques on various components (prism, MLA, FAU, and some packaging-related services). Its rich cash level (~Rmb21bn net cash in 2025) could also support faster integration into potential key clients' supply chains through M&A or equity investment in the future, if mgmt decides to make AI optics a key development roadmap going forward.

Implications to Cowell: We already pointed out another potential big upgrade on iPhone's camera in 2028 ([Link](#)). While some investors may worry about the threat from Sunny's potential entrance, we believe that by leading in both COB/FC techniques, Cowell could continue to strengthen its position and likely win more projects in Apple supply chain against other peers. From that perspective, Sunny is more likely to gain market share from other existing vendors, in our view. Thus, our view on Cowell to achieve strong NP growth CAGR over the next few years through ongoing market share gain and ASP hike remains intact. While some investors are concerned about Cowell as merely a pure consumer electronics play, we think it also has some potential in AI optics (e.g., providing Micro LED along with Luxshare as a CPO solution), creating the possibility of re-rate in the future.

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Company Valuation/Risks

Apple Inc.

Our 12-month forward PT is based on DCF to FY31E using a WACC of 7.8% and a terminal growth rate of 4.5% (implying 30.2x FY31E PE). Our PT implies 40.0x FY26E PE and 3.4x FY26E PEG. Key upside risks: 1) strong reception to Apple Intelligence in 2026, leading to stronger demand for iPhone 18, 2) stronger-than-expected demand for 18 Fold, and 3) memory prices peaking in 3Q26 and starting to fall thereafter. Key downside risks include 1) continued big increases in memory costs above our estimates, 2) lower-than-expected demand for upcoming new products of Apple such as the foldable iPhone and all-glass models, and 3) return of tariff risks driven by a lack of eventual trade deal between China and the US and India and the US.

Cowell e Holdings Inc.

Our price target of HK\$45.00 is based on end-2026E DCF, with a WACC of 10.6% and 4.0% terminal growth (2030E). Key risks include 1) worse-than-expected iPhone/iPad shipments; 2) slower-than-expected market share gain in iPhone rear-camera module; 3) camera specs ceasing to be a major upgrade area; 4) market share loss to peers or new suppliers on existing products; and 5) slower-than-expected proliferation of Apple MR products.

Sunny Optical Technology (Group) Co., Ltd.

Our price target of HK\$63.00 is based on end-2026E DCF, with a WACC of 13.2% and 1.0% terminal growth (2030E). Key risks include: 1) Slower-than-expected smartphone demand recovery; 2) ASP/GM deterioration on smartphone camera lens/module; 3) Slower-than-expected EV or ADAS penetration; and 4) Slower-than-expected XR demand growth.

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(Article 3(1)e and Article 7 of MAR)

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Other Companies Mentioned in This Report

- Apple Inc. (AAPL: \$312.51, HOLD)
- Cowell e Holdings Inc. (1415 HK: HK\$28.54, BUY)
- Sunny Optical Technology (Group) Co., Ltd. (2382 HK: HK\$73.65, BUY)

Rating and Price Target History for: Cowell e Holdings Inc. (1415 HK) as of 05-28-2026



Rating and Price Target History for: Sunny Optical Technology (Group) Co., Ltd. (2382 HK) as of 05-28-2026



Rating and Price Target History for: Apple Inc. (AAPL) as of 05-28-2026



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